

$$\text{Weighted average} = \frac{\text{Sum of costs}}{\text{total no. of units}}$$

$$\text{Current ratio} = \frac{\text{current assets}}{\text{current liabilities}}$$

$$\text{quick ratio} = \frac{\text{current assets} - \text{inventory}}{\text{current liabilities}}$$

$$\text{debtors turnover ratio} = \frac{\text{revenue} \xrightarrow{\text{total credit sales}}}{\text{debtors}}$$

$$\text{inventory turnover} = \frac{\text{cost of materials consumed} \xrightarrow{\text{also total sales}}}{\text{inventory}}$$

$$\text{total asset turnover} = \frac{\text{Revenue}}{\text{total assets}}$$

$$\text{Earnings per share (EPS)} = \frac{\text{PAT}}{\text{outstanding shares}}$$

→ equity share capital
× face value

$$\text{P/E} \rightarrow \frac{\text{Market price per share}}{\text{EPS}}$$

$$\text{dividend yield ratio} = \frac{\text{dividend per share}}{\text{market price per share}}$$

$$\text{debt-equity ratio} = \frac{\text{total debts}}{\text{Shareholders equity}}$$

$$\text{Interest earned ratio} = \frac{\text{PAT} + \text{interest} + \text{depreciation}}{\text{interest}}$$

$$\text{Profit margin} = \frac{\text{PAT}}{\text{revenue}}$$

$$\text{ROA} = \frac{\text{PAT}}{\text{total assets}}$$

$$\text{ROE} = \frac{\text{PAT}}{\text{shareholder's equity}}$$

$$\text{ROCE} = \frac{\text{EBITDA}}{\text{equity} + \text{debt}}$$

Revenue - Operating expenses
↓
Cost of materials +
employee benefits +
Other expenses

↑ Shareholders ↑ total debt

EBITDA → also calculated as:

$$\begin{aligned} & \text{Profit before Tax} + \text{depreciation} + \text{amortization} \\ & + \text{Interest (Finance cost)} \end{aligned}$$

$$\text{operating expenses} = \text{total expenses} - \text{interest} - \text{depreciation}$$